SATSFARM · BACKGROUND BRIEF

What smallholder farmers are up against

Credit, inputs, middlemen and missing records in Northern Nigeria · November 2026

Smallholders grow most of Nigeria's food, yet at nearly every step of a season someone else sets the terms: who gets credit, what is really in the bag of fertilizer, what the harvest sells for, and what the record says is owed. This brief sets out those pain points, with sources, and is plain about which ones SatsFarm can help with and which it cannot.

<5%
of total bank credit goes to agriculture, says the CBN Governor[1]

80%
of Nigeria's farmers are smallholders, says the CBN Governor[1,2]

47%
of North West adults are financially excluded, against 5% in the South West[6]

53%
or so of Anchor Borrowers' loans due had been repaid, per the CBN in 2023[5]

Where a season goes wrong

Before planting	Buying inputs	Growing	Harvest	Repaying
No collateral or credit history, so credit is hard to get.	Costs have climbed. Seed may be low-quality or fake.	Insecurity. Some gangs charge a levy to let farmers work.	Cash pressure and no storage force early sale at low prices.	Debts and support pass through many hands with no shared record.

The pain points

1. Credit is out of reach

In December 2025 the Central Bank's Governor, Olayemi Cardoso, said agriculture receives less than five per cent of total bank credit. Smallholders, he said, make up 80% of farmers and about 90% of agricultural production, yet still face high barriers to affordable credit. Daily Trust reported him saying 80% of farmers are still facing challenges accessing credit.[1] A farmer usually needs money when planting begins, but only has money after harvest. That gap is what credit is for, and it is where many of the other problems start.

2. Inputs are costly, and may not be what the label says

A Niger State rice farmer told Nairametrics in 2025 that fertilizer, pesticide and fuel costs had tripled in two years.[8] Cost is only half of it. Innovations for Poverty Action, citing the Alliance for a Green Revolution in Africa, says more than half of the crop seed sold in Nigeria was found to be low-quality and sometimes fake.[3] Bad seed may only show itself once the crop fails, and by then the season is lost. Better national data is on the way: IPA and the National Agricultural Seeds Council are surveying 1,200 farmers across six states.[3]

3. Middlemen set the price at the worst moment

Farmers often need cash right after harvest, and a lack of storage and processing leaves them unable to hold out for a better price. John Olateru, a national deputy president of the All Farmers Association

of Nigeria (AFAN), said in 2026 that middlemen "often took advantage of farmers' financial pressure immediately after harvest to purchase produce at low prices," then store it and release it later at higher prices. "They exploit the weak system and dictate prices, both at the farm gate and in the market," he said.[4]

> **Our reading:** middlemen are a symptom as well as a cause. They offer what the farmer lacks at that moment: cash today, transport, a buyer, and a way to avoid an unsafe road to market. Cutting them out without replacing those services would leave farmers worse off. The real targets are cash pressure, storage, and access to buyers.

4. The North is the most financially excluded

Nationally, 26% of Nigerians are financially excluded, or 28.8 million adults. The gap is widest in the North.[6] This is the area SatsFarm is designed for, and it limits how support can reach people: a bank transfer doesn't help someone with no account.

Adults who are financially excluded, 2023

Source: EFInA Access to Finance survey, 2023.[6] The source page gives no figures for the other zones. A separate EFInA summary lists the North East at 47%, which conflicts with the 38% above; 38% appears in the launch report.

5. Insecurity taxes farming itself

Reuters reported in 2024 that armed gangs in northern Nigeria demand as much as 3 million naira per village to let farmers work, and farmers in Katsina described an attack over an unpaid levy.[7] Others have abandoned their land or pay for private security.[8] The FAO warned that about 34.7 million Nigerians could face severe food insecurity in the June to August 2026 lean season.[8]

6. Support leaks, and nobody can see where

Programs meant to fix these problems have struggled too. Under the CBN's Anchor Borrowers' Programme, N1.079 trillion was released to about 4.57 million smallholders, but only N503 billion had been repaid: roughly 52–53% of the amount due.[5] AFAN's Kaduna chapter said the scheme "was politicised, hence the low recovery of the loans."[5] Low repayment alone doesn't show where the money went, which is the point. Support moves through officers, agents and dealers, and the farmer, the program and the dealer often have no shared, timely record of what was issued, spent and repaid.[9]

Where SatsFarm fits

SatsFarm is a working prototype on a Bitcoin test network, not a live service. A program issues a voucher in naira, the farmer approves each payment to a registered agro-dealer from their phone, the program's Lightning node pays the dealer, and repayments go on a shared record.

Pain point	What SatsFarm does	What it does not do
Credit	Gives programs a clear way to issue and track input loans and grants, with the amount owed visible to the farmer.	Fund anyone, or replace a lender. A program must still supply the money and carry the risk.
Input cost and fakes	Limits vouchers to registered dealers and records which shop was paid. Debts stay in naira.	Test product quality or lower prices. Registration is only as good as the program's vetting.
Middlemen at harvest	Records repayment in grain, cash or transfer, against a balance both sides can see.	Set prices, provide storage, or find buyers. **This is the biggest pain point it leaves open.**
Financial exclusion	Works without a bank account, in Hausa and English, using an invite from the program.	Reach farmers without an Android smartphone and data. USSD and offline use aren't built.
Insecurity	Nothing directly.	Make farms or roads safer.
Leaks and records	Requires the farmer's approval for each payment and leaves a verifiable payment record.	Prove goods were delivered or used. A settled payment is payment evidence, not impact evidence.

What we still need to learn

We have not yet interviewed farmers, NGO officers or dealers. Everything above comes from published reporting, so these are the questions to take into the field:

- Where do money and inputs actually get stuck today, and who do farmers trust to record what they owe?
- Why would an NGO use this rather than bank transfer or mobile money? Our hypothesis is direct program payments with fewer intermediaries and a shared record. It is untested.
- Which phones, data access and agents do farmers really have, and which languages and literacy levels must the app serve?
- Would registered dealers accept this, and how should a program vet them?
- What do Nigerian lending and digital payments rules require before any real money moves?

Sources

News and advocacy reports quote officials and farmers. They are not audited data, and national statistics in this area are thin. Pages checked in November 2026.

1. Daily Trust, "80% of farmers still unable to access loans – CBN", 10 Dec 2025.
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3. Innovations for Poverty Action, "Can Farmers Identify Quality Seeds Before they Buy? Evidence from Nigeria", citing AGRA, 2020. Study in progress.
4. Peoples Gazette / NAN, "Middlemen, weak policies hurting Nigerian farmers, says AFAN", 3 Feb 2026.
5. Nairametrics, on the Anchor Borrowers' Programme, 13 May 2023. The article gives both 52.39% and 53.39%, and both N942bn and N960bn as the amount due.
6. A2F / EFInA, "New report shows wide disparity in financial inclusion", 21 Mar 2024.
7. Reuters via Daily Dispatch, "Nigerian farmers abandon farms after attacks, sending food prices higher", 25 Jun 2024.
8. Nairametrics, "Nigeria risks food crisis in 2026 as farmers threaten exit over post-harvest losses", 13 Nov 2025.
9. SatsFarm product requirements document, "Problem and users": github.com/7-falseparfait/SatsFarm, docs/PRD.md.